ANNUAL OPERATING BUDGET

Pelican Crestline Medical Plaza | Philadelphia, PA

Property	Pelican Crestline Medical Plaza
Fiscal Year	2025
Submitted By	Lumen Residential Services
Submitted	February 17, 2026

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$196,325	$199,272	$205,584	$9,259	4.7%	$6,852.80
5010 Loss to Lease	$52,316	$53,472	$56,502	$4,186	8.0%	$1,883.41
5020 Vacancy Loss	$440,876	$414,820	$442,575	$1,699	0.4%	$14,752.51
5030 Concessions	$181,938	$168,672	$177,401	-$4,536	-2.5%	$5,913.37
5040 Bad Debt	$645,195	$642,233	$685,423	$40,228	6.2%	$22,847.43
5050 Late Fees	$202,613	$214,146	$225,918	$23,305	11.5%	$7,530.62
5060 Utility Reimbursements	$382,303	$382,345	$392,794	$10,490	2.7%	$13,093.12
5070 Parking Income	$107,012	$109,787	$112,169	$5,158	4.8%	$3,738.98
5080 Application Fees	$214,434	$204,841	$215,065	$631	0.3%	$7,168.82
5090 Pet Rent	$675,038	$662,695	$706,373	$31,335	4.6%	$23,545.75
5100 Laundry Income	$521,897	$519,191	$541,147	$19,250	3.7%	$18,038.22
5110 Cable/Internet Revenue	$594,605	$615,346	$642,668	$48,063	8.1%	$21,422.27
5120 CAM Reimbursements	$46,170	$46,770	$47,271	$1,100	2.4%	$1,575.68
5130 Tax Reimbursements	$511,018	$549,297	$552,270	$41,252	8.1%	$18,409.00
5140 Insurance Reimbursements	$212,754	$223,261	$235,559	$22,805	10.7%	$7,851.97
5150 Percentage Rent	$162,650	$156,345	$158,041	-$4,608	-2.8%	$5,268.05
5160 Misc. Income	$77,838	$82,202	$87,693	$9,854	12.7%	$2,923.09
5170 Payroll - Management	$371,567	$349,729	$364,949	-$6,619	-1.8%	$12,164.95
5180 Payroll - Leasing	$87,875	$88,209	$92,991	$5,115	5.8%	$3,099.68
5190 Payroll - Maintenance	$478,244	$468,107	$486,693	$8,449	1.8%	$16,223.09
5200 Payroll Taxes & Benefits	$636,659	$671,957	$700,458	$63,799	10.0%	$23,348.60
5210 Repairs - Plumbing	$362,061	$356,479	$369,038	$6,977	1.9%	$12,301.27
5220 Repairs - HVAC	$315,483	$338,668	$344,789	$29,306	9.3%	$11,492.96
5230 Repairs - Electrical	$176,214	$167,852	$178,988	$2,774	1.6%	$5,966.27

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$473,878	$443,001	$463,987	-$9,891	-2.1%	$15,466.23
5420 Office Supplies	$122,087	$115,382	$122,794	$708	0.6%	$4,093.15
5430 Legal & Professional	$582,318	$560,198	$585,869	$3,551	0.6%	$19,528.97
5440 Accounting & Audit	$102,047	$98,992	$102,458	$411	0.4%	$3,415.27
5450 Licenses & Permits	$74,189	$71,723	$74,627	$437	0.6%	$2,487.56
5460 Management Fee	$307,501	$305,142	$326,354	$18,853	6.1%	$10,878.45
5470 Property Insurance	$108,104	$100,214	$101,242	-$6,861	-6.3%	$3,374.74
5480 Real Estate Taxes	$43,713	$46,379	$49,519	$5,806	13.3%	$1,650.63
5490 Asset Management Fee	$446,686	$436,048	$446,566	-$120	-0.0%	$14,885.53
5500 Replacement Reserves	$465,785	$434,368	$444,067	-$21,718	-4.7%	$14,802.23
5510 Roof Repairs	$284,088	$284,343	$302,315	$18,226	6.4%	$10,077.16
5520 Parking Lot Repairs	$648,491	$638,151	$669,182	$20,692	3.2%	$22,306.08
5530 Signage	$45,560	$42,084	$44,747	-$813	-1.8%	$1,491.58
5540 Tenant Improvements	$440,448	$453,235	$471,184	$30,736	7.0%	$15,706.15
5550 Leasing Commissions	$198,510	$198,093	$204,738	$6,228	3.1%	$6,824.58
5000 Gross Potential Rent	$510,757	$530,736	$536,199	$25,442	5.0%	$17,873.31
5010 Loss to Lease	$631,247	$656,056	$701,723	$70,475	11.2%	$23,390.75
5020 Vacancy Loss	$336,248	$352,914	$357,943	$21,695	6.5%	$11,931.44
5030 Concessions	$321,772	$346,196	$362,070	$40,297	12.5%	$12,068.99
5040 Bad Debt	$332,807	$345,059	$362,906	$30,098	9.0%	$12,096.86
5050 Late Fees	$336,974	$322,623	$331,503	-$5,471	-1.6%	$11,050.11
5060 Utility Reimbursements	$132,749	$135,219	$140,431	$7,682	5.8%	$4,681.05
5070 Parking Income	$168,335	$176,951	$180,024	$11,689	6.9%	$6,000.81
5080 Application Fees	$105,629	$98,342	$103,276	-$2,353	-2.2%	$3,442.54
5090 Pet Rent	$384,769	$404,585	$406,793	$22,024	5.7%	$13,559.78
5100 Laundry Income	$143,380	$147,766	$154,541	$11,161	7.8%	$5,151.37
5110 Cable/Internet Revenue	$334,156	$341,987	$360,195	$26,038	7.8%	$12,006.49
5120 CAM Reimbursements	$501,008	$481,929	$509,155	$8,146	1.6%	$16,971.82
5130 Tax Reimbursements	$350,476	$334,625	$356,997	$6,521	1.9%	$11,899.90
5140 Insurance Reimbursements	$647,209	$690,623	$722,037	$74,828	11.6%	$24,067.89
5150 Percentage Rent	$128,615	$138,591	$144,843	$16,228	12.6%	$4,828.11
5160 Misc. Income	$112,121	$105,794	$110,255	-$1,865	-1.7%	$3,675.18
5170 Payroll - Management	$195,917	$189,854	$195,750	-$167	-0.1%	$6,524.99
5180 Payroll - Leasing	$411,207	$435,576	$437,737	$26,530	6.5%	$14,591.23
5190 Payroll - Maintenance	$382,797	$403,138	$412,542	$29,745	7.8%	$13,751.40
5200 Payroll Taxes & Benefits	$675,087	$707,119	$739,115	$64,027	9.5%	$24,637.15
5210 Repairs - Plumbing	$164,588	$166,698	$171,726	$7,138	4.3%	$5,724.19
5220 Repairs - HVAC	$563,591	$555,032	$573,911	$10,320	1.8%	$19,130.38
5230 Repairs - Electrical	$370,473	$351,175	$368,792	-$1,681	-0.5%	$12,293.07
5240 Repairs - Appliances	$465,962	$430,214	$446,240	-$19,721	-4.2%	$14,874.68
5250 Painting & Decorating	$494,586	$491,819	$507,893	$13,307	2.7%	$16,929.76

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Income and Expense Review

Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The going-in capitalization rate of 5.57% reflects the in-place income and the stabilized occupancy assumption.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Operating expenses totaled $403,000 or approximately 6.94 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.49% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. Patient parking and ADA-compliant access are provided at a ratio of 42 spaces per 1,000 square feet. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Service requests are tracked through a work-order system with an average completion time of 44 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Collections for the period were 88.6% of billed charges, with bad debt of 7.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Financial Analysis

Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $207,000 or approximately 47.98 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $327,000, representing a 2.6% increase over the prior year. Debt service coverage ratio was 7.00x on a trailing basis against a covenant minimum of 1.20x. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. The going-in capitalization rate of 5.50% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Patient parking and ADA-compliant access are provided at a ratio of 47 spaces per 1,000 square feet. Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Service requests are tracked through a work-order system with an average completion time of 32 hours. Patient parking and ADA-compliant access are provided at a ratio of 6 spaces per 1,000 square feet. Collections for the period were 96.5% of billed charges, with bad debt of 5.3% of gross potential income.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 44 additional team members. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Collections for the period were 96.3% of billed charges, with bad debt of 5.4% of gross potential income. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Operating Performance

Operating expenses totaled $136,000 or approximately 22.33 per square foot, with real estate taxes representing the largest line item. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Debt service coverage ratio was 7.50x on a trailing basis against a covenant minimum of 1.20x. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$307,426	$296,409	$304,172	-$3,254	-1.1%	$10,139.07
5250 Painting & Decorating	$492,304	$477,086	$503,016	$10,712	2.2%	$16,767.20
5260 Flooring	$189,059	$202,420	$212,061	$23,003	12.2%	$7,068.70
5270 Make-Ready / Turnover	$609,388	$578,525	$589,122	-$20,266	-3.3%	$19,637.39
5280 Landscaping Contract	$164,323	$164,940	$173,853	$9,531	5.8%	$5,795.11
5290 Snow Removal	$262,154	$266,784	$277,494	$15,340	5.9%	$9,249.80
5300 Janitorial	$159,484	$162,545	$173,644	$14,160	8.9%	$5,788.13
5310 Pest Control	$376,252	$369,530	$381,624	$5,372	1.4%	$12,720.80
5320 Trash Removal	$117,926	$112,072	$117,096	-$830	-0.7%	$3,903.21
5330 Elevator Contract	$478,118	$462,659	$485,269	$7,151	1.5%	$16,175.62
5340 Fire & Life Safety	$116,183	$115,096	$115,415	-$768	-0.7%	$3,847.17
5350 Security	$224,336	$211,685	$215,641	-$8,695	-3.9%	$7,188.04
5360 Electricity - Common	$112,370	$119,355	$126,903	$14,533	12.9%	$4,230.09
5370 Gas - Common	$582,776	$549,049	$583,773	$997	0.2%	$19,459.09
5380 Water & Sewer	$66,074	$65,972	$66,481	$406	0.6%	$2,216.02
5390 Telephone/Internet	$37,821	$39,210	$39,346	$1,525	4.0%	$1,311.54
5400 Advertising	$61,073	$63,495	$65,321	$4,248	7.0%	$2,177.35
5410 Resident Events	$423,535	$455,302	$469,706	$46,171	10.9%	$15,656.86
5420 Office Supplies	$675,795	$683,912	$710,389	$34,594	5.1%	$23,679.63
5430 Legal & Professional	$252,720	$246,919	$256,326	$3,605	1.4%	$8,544.19
5440 Accounting & Audit	$148,863	$142,709	$145,081	-$3,782	-2.5%	$4,836.04
5450 Licenses & Permits	$184,341	$191,158	$196,006	$11,665	6.3%	$6,533.54
5460 Management Fee	$67,702	$66,283	$67,079	-$623	-0.9%	$2,235.96
5470 Property Insurance	$333,453	$331,946	$342,146	$8,693	2.6%	$11,404.88
5480 Real Estate Taxes	$516,947	$546,703	$560,843	$43,896	8.5%	$18,694.77
5490 Asset Management Fee	$204,724	$199,694	$212,015	$7,291	3.6%	$7,067.17
5500 Replacement Reserves	$362,164	$337,100	$344,792	-$17,372	-4.8%	$11,493.06
5510 Roof Repairs	$611,857	$575,488	$612,846	$988	0.2%	$20,428.18
5520 Parking Lot Repairs	$676,026	$674,365	$692,892	$16,866	2.5%	$23,096.41
5530 Signage	$420,329	$407,950	$427,881	$7,553	1.8%	$14,262.71
5540 Tenant Improvements	$184,151	$194,208	$199,797	$15,646	8.5%	$6,659.91
5550 Leasing Commissions	$164,905	$152,076	$152,817	-$12,088	-7.3%	$5,093.91
5000 Gross Potential Rent	$172,980	$173,674	$176,532	$3,552	2.1%	$5,884.40
5010 Loss to Lease	$153,230	$159,558	$162,049	$8,819	5.8%	$5,401.62
5020 Vacancy Loss	$86,035	$88,174	$93,635	$7,600	8.8%	$3,121.16
5030 Concessions	$288,600	$308,538	$314,000	$25,400	8.8%	$10,466.68
5040 Bad Debt	$34,862	$32,386	$33,952	-$910	-2.6%	$1,131.73
5050 Late Fees	$73,915	$79,334	$79,425	$5,510	7.5%	$2,647.51
5060 Utility Reimbursements	$375,686	$384,630	$401,897	$26,211	7.0%	$13,396.55
5070 Parking Income	$634,120	$657,798	$665,221	$31,100	4.9%	$22,174.03

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Operating Performance

The going-in capitalization rate of 5.39% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Operating expenses totaled $13,000 or approximately 17.09 per square foot, with real estate taxes representing the largest line item.

The going-in capitalization rate of 8.07% reflects the in-place income and the stabilized occupancy assumption. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.35x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 90.1% of billed charges, with bad debt of 7.4% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Service requests are tracked through a work-order system with an average completion time of 38 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day.

Collections for the period were 89.8% of billed charges, with bad debt of 7.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Operating Performance

Patient parking and ADA-compliant access are provided at a ratio of 5 spaces per 1,000 square feet. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy.

Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.59x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $56,000 or approximately 11.76 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $30,000, representing a 2.2% increase over the prior year.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 4 hours. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Collections for the period were 90.9% of billed charges, with bad debt of 3.2% of gross potential income. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Rents average $36 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Service requests are tracked through a work-order system with an average completion time of 39 hours.

Valuation Discussion

Effective gross income for the trailing period was $431,000, representing a 5.6% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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5140 Insurance Reimbursements	$617,994	$614,932	$647,325	$29,331	4.7%	$21,577.51
5150 Percentage Rent	$427,705	$433,328	$440,999	$13,294	3.1%	$14,699.96
5160 Misc. Income	$137,299	$134,708	$143,108	$5,809	4.2%	$4,770.27
5170 Payroll - Management	$656,646	$704,119	$744,256	$87,610	13.3%	$24,808.53
5180 Payroll - Leasing	$49,550	$45,943	$46,412	-$3,137	-6.3%	$1,547.07
5190 Payroll - Maintenance	$79,355	$78,955	$83,682	$4,327	5.5%	$2,789.39
5200 Payroll Taxes & Benefits	$210,307	$215,014	$226,819	$16,512	7.9%	$7,560.64
5210 Repairs - Plumbing	$521,746	$497,516	$500,577	-$21,169	-4.1%	$16,685.90
5220 Repairs - HVAC	$306,048	$292,699	$300,054	-$5,994	-2.0%	$10,001.81
5230 Repairs - Electrical	$474,395	$508,176	$519,725	$45,330	9.6%	$17,324.17
5240 Repairs - Appliances	$586,459	$591,823	$617,649	$31,190	5.3%	$20,588.30
5250 Painting & Decorating	$566,082	$607,491	$631,034	$64,951	11.5%	$21,034.46
5260 Flooring	$442,498	$464,444	$496,646	$54,148	12.2%	$16,554.86
5270 Make-Ready / Turnover	$110,201	$118,501	$120,290	$10,088	9.2%	$4,009.66
5280 Landscaping Contract	$456,470	$435,147	$456,611	$142	0.0%	$15,220.38
5290 Snow Removal	$406,152	$438,246	$449,148	$42,996	10.6%	$14,971.61
5300 Janitorial	$618,614	$649,997	$690,526	$71,912	11.6%	$23,017.53
5310 Pest Control	$198,740	$205,383	$214,478	$15,737	7.9%	$7,149.26
5320 Trash Removal	$457,846	$439,225	$463,769	$5,923	1.3%	$15,458.98
5330 Elevator Contract	$268,826	$273,134	$279,485	$10,659	4.0%	$9,316.16
5340 Fire & Life Safety	$533,329	$574,918	$586,863	$53,534	10.0%	$19,562.09
5350 Security	$97,339	$89,845	$91,504	-$5,834	-6.0%	$3,050.15
5360 Electricity - Common	$252,729	$249,680	$259,002	$6,273	2.5%	$8,633.40
5370 Gas - Common	$485,491	$510,244	$531,542	$46,051	9.5%	$17,718.07
5380 Water & Sewer	$652,446	$676,013	$676,536	$24,090	3.7%	$22,551.20
5390 Telephone/Internet	$631,618	$627,823	$662,950	$31,332	5.0%	$22,098.34
5400 Advertising	$614,666	$584,337	$589,285	-$25,381	-4.1%	$19,642.82
5410 Resident Events	$51,234	$53,411	$54,952	$3,718	7.3%	$1,831.72
5420 Office Supplies	$526,240	$558,408	$567,020	$40,780	7.7%	$18,900.68
5430 Legal & Professional	$138,193	$132,267	$138,887	$695	0.5%	$4,629.58
5440 Accounting & Audit	$315,645	$318,009	$318,495	$2,850	0.9%	$10,616.50
5450 Licenses & Permits	$84,215	$88,316	$92,087	$7,871	9.3%	$3,069.55
5460 Management Fee	$275,386	$280,286	$293,242	$17,856	6.5%	$9,774.74
5470 Property Insurance	$551,533	$554,234	$589,802	$38,270	6.9%	$19,660.08
5480 Real Estate Taxes	$39,198	$42,278	$44,626	$5,428	13.8%	$1,487.54
5490 Asset Management Fee	$422,377	$394,540	$401,546	-$20,831	-4.9%	$13,384.87
5500 Replacement Reserves	$301,338	$296,667	$316,287	$14,950	5.0%	$10,542.91
5510 Roof Repairs	$63,899	$67,476	$67,944	$4,045	6.3%	$2,264.81
5520 Parking Lot Repairs	$39,626	$40,948	$42,646	$3,020	7.6%	$1,421.54
5530 Signage	$625,318	$649,820	$654,376	$29,058	4.6%	$21,812.54
5540 Tenant Improvements	$455,991	$476,337	$495,323	$39,332	8.6%	$16,510.77
5550 Leasing Commissions	$362,907	$359,850	$383,777	$20,870	5.8%	$12,792.57

Report generated 02/17/2026. Figures are unaudited and subject to change.

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